

My Biggest Position Went Up 26% in One Day. Here's Why It Wasn't Enough.

The move repriced the EPS. It did not reprice the business.



PRIMARY SOURCE ARBITRAGE

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On March 12, 2024, Itron held its Investor Day and set the 2027 target operating model: **gross margin of 36 to 38%, adjusted EBITDA margin of 15 to 17%, free cash flow of 10 to 12% of revenue**. On July 28, 2026, Itron reported Q2 2026 results. Adjusted gross margin of **41.4%**. Adjusted EBITDA margin of **17.2%**. Free cash flow of \$81 million on \$563 million of revenue, or **14.4%**.

Itron Target Operating Model for 2027

\$M	2023 Actual	2027 Estimate
Revenue	\$2,174	\$2,600 to \$2,800 5 to 7% CAGR
Gross Margin	32.8%	36 to 38%
Non-GAAP OPEX % of Revenue	\$521 24.0%	22 to 23% of Revenue
Adjusted EBITDA % of Revenue	\$226 10.4%	15 to 17% of Revenue
Free Cash Flow % of Revenue	\$98 4.5%	10 to 12% of Revenue

Source: Based on Itron management estimates. Assumptions do not include M&A or additional restructuring savings beyond previously announced programs.



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2024 Investor Day target operating model slide. Source: Itron 2024 Investor Day presentation.

Every target in the 2027 model has been exceeded in the first half of 2026. Not marginally. Gross margin came in **340 basis points above the high end of the range management set two years ago**. Joan Hooper, CFO, confirmed it on the Q2 call:

“If you look at the original 2027 gross margin targets we had out there, we’re essentially above that at the company level. Outcomes has a little bit further to grow in terms of the segment level, but Networked is there, and Devices is well in excess.”

The stock closed at \$84.78 on July 27th; by July 28th close, it was at \$107.02, up 26%. It has since settled to \$99.66 as of July 31. **The move repriced a margin beat and an EPS guidance raise. It did not reprice the business.**



ITRI Daily September 2025 to July 2026. Source: TradingView

What Q2 Actually Proved

The quarter was not about revenue. **Revenue of \$563 million was in line with guidance** and down 7% YoY, driven by the timing of Networked Solutions deployments. **Deployment lumpiness is the Itron story**; large utility programs shift between quarters based on regulatory calendars, not demand deterioration. The substantial majority of second-half revenue is already under contract per management.

The quarter was about the margin structure becoming permanent. Record 41.4% adjusted gross margin on lower revenue is a different statement than record margin on record revenue. If margin expands on higher volume, a skeptic attributes it to **operating leverage, fixed costs spread over more units**. Record margin on lower revenue **eliminates that explanation**. The improvement is mix and structural efficiency, **and it holds through deployment variability**. Device Solutions gross margin expanded **500 basis points YoY**. Networked Solutions expanded **430 basis points**. Outcomes expanded **30 basis points on 13% revenue growth**. Resiliency Solutions, in its third reported quarter, printed **75.3% adjusted gross margin** and 27.7% adjusted operating margin on \$16 million of revenue. At \$16 million, the segment is not yet moving the consolidated P&L, **but a 75% gross margin segment is a software signal, not a hardware signal**, and the trajectory as Resiliency scales through cross-sell into 8,000 utility relationships is the part that is not in any model.

ARR (annual recurring revenue) ended Q2 at \$417 million, up 21% YoY. Licensed apps on distributed intelligence endpoints reached **approximately 28 million, up more than 50% YoY**. Outcomes revenue grew 13% YoY. Bookings of \$550 million **represented a book-to-bill of 0.98x**, the first increase in four quarters and stronger than both Q2 2024 (\$447 million) and Q2 2025 (\$454 million). Buy-side consensus had expected 0.8x. Total backlog held at \$4.4 billion.

The EPS guidance raise tells the margin story in a single number. Management moved full-year non-GAAP EPS from \$5.75–\$6.25 to **\$6.30–\$6.50, a 7% increase at the midpoint**. Revenue guidance was

narrowed, not raised, to \$2.37 to \$2.41 billion. **The entire raise came from the structural margin improvement flowing through to earnings.** Hooper confirmed that normalizing for tax rate and interest income, the midpoint of the new EPS range is approximately 7% above 2025.

Why the Framework Does Not Exist

Five sell-side desks published notes around the Q2 print. All five acknowledge the software transition. None models it as software.

JPMorgan, July 28: Overweight, price target \$117, based on 13x FY2028E EBITDA. Mark Strouse writes that the assigned multiple

“is a discount to the three-year average NTM historical multiple, which we believe could prove conservative if the company can execute on its growing pipeline and margin expansion targets.”

The margin expansion is already in the reported numbers. The multiple is conditioned on a fact that Q2 just confirmed. **The analyst is telling you, in writing, that his own price target methodology undervalues the company.**

TD Cowen, July 28 (post-earnings update; preview published July 19): Buy, price target \$130, based on a sum-of-the-parts applying 13x to Device Solutions, 17x to Networked Solutions, and 18x to Outcomes, all on CY2027E EBITDA. Osborne bumped the Networked Solutions multiple from 16x to 17x after the margin beat, an acknowledgment in the methodology itself. **Resiliency Solutions still does not appear in the SOTP. A segment delivering 75% gross margins receives zero assigned value.**

Needham, July 29: Buy, price target \$128, based on 20x FY2026E adjusted EPS. Sean Milligan's investment thesis states it directly:

“Itron is a grid modernization infrastructure company trading at a hardware multiple while its financial profile increasingly resembles a software business.”

Then:

“The current valuation reflects neither the ARR trajectory nor the cross-sell optionality embedded in Itron’s existing utility customer relationships. We see the discount as an entry point, not a reflection of business quality.”

An analyst who characterises the company as misclassified and then applies a P/E multiple is demonstrating the constraint, not ignoring it.

Roth Capital, July 22: Buy, price target \$136, based on 20x FY2027E adjusted EPS, or approximately 17x adjusted EBITDA. Chip Moore writes that Itron’s positioning is

“under-appreciated in the context of accelerating grid modernization needs and the inevitable ramp of edge intelligence solutions.”

Seaport Research Partners, July 28: Buy, raised price target from \$145 to \$150, the street high, based on 23x FY2027E adjusted EPS and 15x EBITDA. **The highest price target on the street still uses an earnings multiple.**

The unanimity is the point. Every desk acknowledges the transition. Every desk uses an EBITDA or P/E denominator. Not one publishes an EV/ARR sum-of-the-parts.

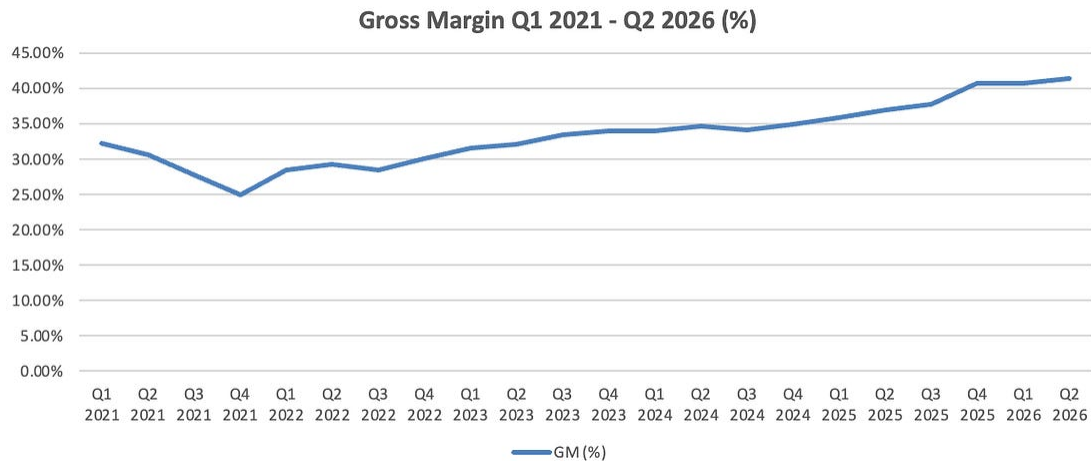
This is not analytical failure. **It is a structural constraint on how sell-side models get built.** ARR was introduced as a primary operating metric in the FY2025 10-K, three quarters ago. Sell-side models are built from quarterly segment disclosures with historical trend lines. **You cannot build a segment-level EV/ARR model with three data points**

and no long-term target framework from management. The Investor Day is when management presents updated segment-level targets, including ARR growth, segment-level margins, and cross-sell contribution from Resiliency Solutions. **That framework gives analysts the architecture to rebuild their models around the software layer.** Until it exists, they model what they can model. The methodology is not wrong. It is incomplete. **The incompleteness is the opportunity.**

The reverse SOTP (sum-of-the-parts) at \$99.66: strip hardware at 1.0× FY2025 revenue (\$2,004 million), consistent with every prior post in this series, and the market implies **approximately 7.8× EV/ARR on the software layer**, up from 6.3× in my June 2 post. For context: Samsara trades at approximately 10.5× on 30% ARR growth. Guidewire at approximately 11× on 19%. Both have compressed sharply within the last year, Samsara from above 15×, Guidewire from above 20×, but neither has fallen below 10×. **7.8× on 21% ARR growth with a 75% gross margin segment is not a deliberate software valuation. It is a hardware multiple applied to a software business by analysts who do not yet have the framework to do otherwise.**

What Changed and What Has Not

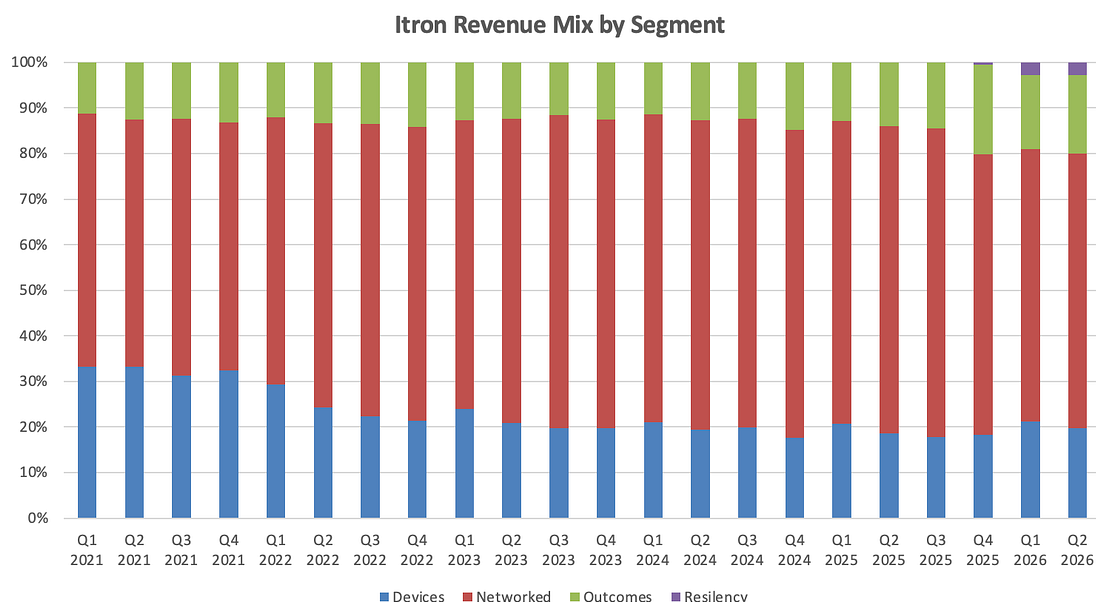
The margin structure has not just changed this quarter. **It has been changing for years.**



Itron Adjusted Gross Margin, Q1 2021 – Q2 2026. Source: Itron quarterly earnings.

The chart says what the numbers say but faster. Adjusted gross margin bottomed at 25% in late 2021 and has climbed in a nearly unbroken line to 41.4%. The Resiliency Solutions segment did not exist until November 2025 and has **now printed three consecutive quarters at 70 to 75% gross margins.** Outcomes operating margin has expanded from 18.2% twelve months ago to 21.3% today, on 13% top-line growth. These are not one-quarter anomalies. **They are structural shifts in the business mix that compound as recurring revenue grows as a share of total.**

The revenue mix tells the same story from a different angle. Device Solutions has shrunk from a third of revenue in 2021 to a fifth today. **Outcomes and Resiliency now combine for nearly 20%.** The business that analysts model as hardware **is becoming less hardware every quarter.**

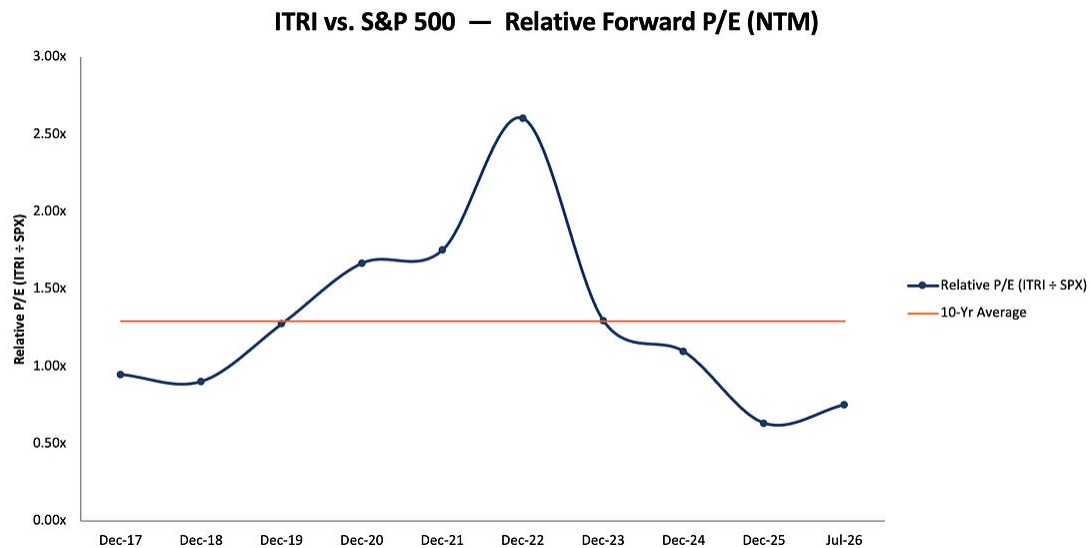


Itron Revenue Mix by Segment, Q1 2021 – Q2 2026. Stacked bar showing Device Solutions, Networked Solutions, Outcomes, and Resiliency Solutions as % of total revenue. Source: Itron quarterly earnings.

What changed on July 28 is that the market acknowledged it. The stock moved 26% in a single session, its largest one-day move in years. **But the acknowledgment was partial.** The move repriced EPS, the guidance raise from \$6.00 to \$6.40 at the midpoint, and the margin beat. **It did not reprice the framework.** JPMorgan raised its price target from \$112 to \$117 and introduced FY2028 estimates. Needham raised from \$116 to \$128. Seaport raised from \$145 to \$150. **All three estimate-driven raises, not multiple-driven. The multiple applied to those estimates remained unchanged.**

At \$99.66 as of July 31, Itron trades at approximately 15.6x NTM P/E. The S&P 500 trades at 20.7x. The ratio, 0.75x, sits near the trough of its 10-year range against a 10-year average of 1.29x. **A name that historically traded at a 29% premium to the market now sits at a 25% discount.** This is the stock being cheap even under the methodology that undervalues it. Under an EV/ARR framework, the discount would be wider. NTM EPS of approximately \$6.39 is near a 10-year high. **Peak**

forward earnings power. Trough relative multiple. That is the floor case.



ITRI vs. S&P 500 Relative Forward P/E (NTM), Dec 2017 – Jul 2026, with 10-year average reference line at ~1.29x. Source: TIKR Terminal (ITRI NTM P/E), LSEG Workspace (S&P 500 Forward P/E).

The Coiled Spring and the Demand Layer

The installed base argument is not theoretical. Over 17.5 million distributed intelligence-capable endpoints have been shipped. Per TD Cowen, **3.8 million are actively running DI applications, roughly one in five.** Itron holds 88% share of deployed DI endpoints and 68% of what has been awarded and deployed, making this effectively a two-player market with Landis+Gyr. Tampa Electric completed its network deployment and now runs 5 apps per endpoint. **That is the proof of concept for what the installed base converts into once a network is stabilised and the utility begins activating software capabilities.** The gap between endpoints shipped and apps deployed is not a bear case.

It is the future Outcomes revenue that has not yet been activated and is not in any model.

The demand environment behind the backlog is structural, and it is broadening. Two developments from the Q2 call that were not in prior posts:

1. The gas distribution refresh market is, per Deitrich, **“well above historic norms, no matter how you look at it. It’s multiples above what has traditionally been the case.”** The drivers are aging assets and new safety technology, integrated shutoff and automated methane sensing. Gas bookings are expected to land over the next one to two years, with outsized gas growth over a three-to-five-year horizon. **Given Itron’s large gas market share, this is an incremental demand vector above and beyond the electric grid modernisation thesis.**
2. **The mid-market is opening.** PaaS (Platform-as-a-Service) wins with LADWP, SMUD, and 1789 Lux Partners demonstrate that grid edge intelligence is no longer limited to large investor-owned utilities (IOUs) and early adopters. Deitrich on the Q2 call: **“It’s no longer the early adopters only or the big IOUs that are going down the path...really starting to move into that mid-market portion for the actual win rates cooking over and not in concept any longer.”** This expands the addressable market beyond the large programs that dominate the bookings narrative.

The bear case on distribution grid investment, that generation and data centre load growth crowds out distribution CapEx, was addressed directly. Deitrich:

“The extension to say distribution capital is being crowded out of that investment is empirically untrue. Distribution CapEx levels continue to grow. That was even acknowledged at the NAREIT conference just a couple of weeks ago. The regulators are talking about it. You’ve got to remember that 2/3 of utilities are

distribution only. So it's not even a rational trade to consider for 2/3 of the market overall."

All of that generation and transmission capacity eventually lands on distribution systems that were never built to handle it. The investment in distribution intelligence is not competing with generation spend. **It is a consequence of it.**

On the unit economics of that investment, Deitrich gave two examples on the call. A large IOU on the West Coast with 4 to 5 million endpoints **can defer more than \$1 billion of transformer upsizing by using distributed intelligence to manage EV charging within circuit and panel budgets.** A Southeastern utility with approximately 1 million endpoints **reduced outage duration by 12 to 15% and frequency by 3 to 5% through DI deployment.** The annualised cost of power outages in the United States over the last seven years averages \$67 billion per year. **Double-digit percentage reductions in that figure self-fund the investment.**

The Forcing Functions

Three near-term catalysts and one structural one.

Roth Capital is hosting a management webinar with CEO Tom Deitrich and CFO Joan Hooper on August 5 at 10 AM ET. Itron is participating virtually in the Oppenheimer 29th Annual Technology, Internet & Communications Conference on August 11, with Hooper and Joel Vach presenting a fireside chat at 12:25 PM ET. **Both events are opportunities for management to address investor questions on the demand pipeline, bookings trajectory, and the path to the Investor Day.**

TD Cowen's Osborne flagged that Q4 2026 and Q1 2027 should be

“more appealing to shorter-term investors as regulatory approvals play out in Texas, California, and a handful of other locations.”

Those are the large IOU programs that convert the record pipeline into backlog and revenue.

The structural forcing function is the Investor Day. Hooper on the Q2 call:

“Shortly thereafter, sometime next year, we’ll give the longer-range target framework by segment. We’re still in the midst of integrating Resiliency Solutions. So we didn’t want to rush to put targets out with that kind of framework until we’re a little further along with the integration.”

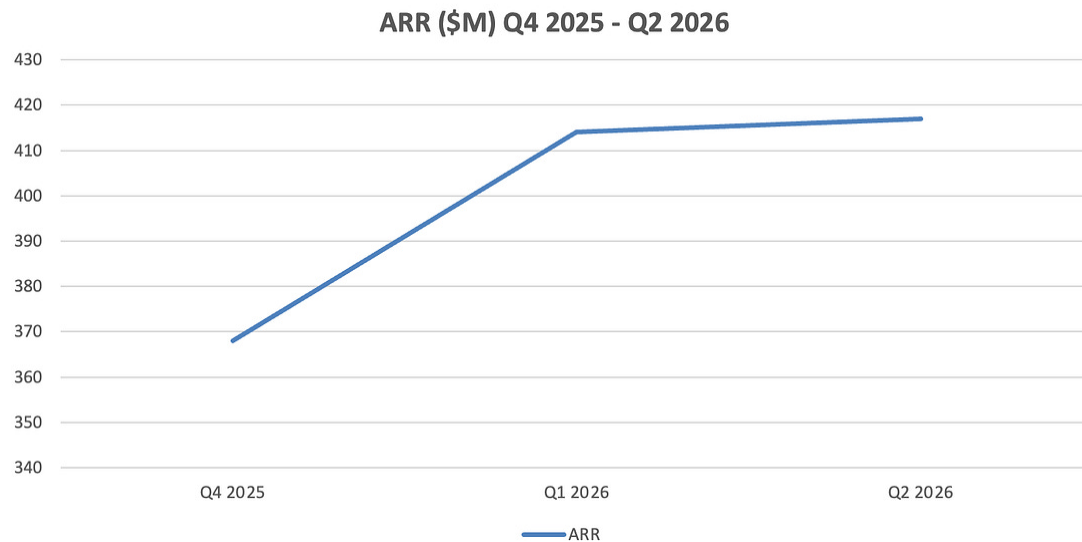
The integration is planned to be complete by early January 2027. That sets the sequencing: integration completes, then management presents updated segment-level targets including cross-sell contribution from Resiliency Solutions, new margin and growth frameworks for Outcomes, and an ARR trajectory that gives analysts the data architecture to build a software SOTP. **The Investor Day is when the model rebuild becomes unavoidable.**

The prior Investor Day was announced on the Q4 2023 earnings call on February 26, 2024, and held March 12, 2024, fourteen days between announcement and event. The integration completes in January. The Q4 2026 earnings call is in February. **The parallel writes itself.**

The Honest Caveat

ARR growth decelerated from 28% in Q1 to 21% in Q2. The build since management introduced the metric: \$307 million at Q4 2024 (implied), \$368 million at Q4 2025 (up 20%), \$414 million at Q1 2026 (up 28%), \$417 million at Q2 2026 (up 21%). **The break condition is 15% YoY for**

two consecutive quarters. Q2 came in at 21%, six percentage points above the threshold after one quarter of deceleration. That is the buffer. Whether it is enough depends on what Q3 and Q4 show.



Itron ARR (\$M), Q4 2025 – Q2 2026. Source: Itron earnings calls and FY2025 10-K.

Bookings remain the key debate. TTM book-to-bill is 0.93. The \$4.4 billion backlog is healthy, and Deitrich confirmed the 12-month backlog is up QoQ, with pipelines at record levels and win rates strong. **But pipeline is not backlog, and management declined to guide book-to-bill or handicap named RFPs.** The regulatory calendar - Texas, California, and a handful of other states - is the conversion gate, and it is outside management's control.

Net leverage at 2.3x is elevated from the Locusview acquisition. The debt is well-structured: \$700 million in 0.00% convertible senior notes due March 2032 (issued February 2026, replacing the 2026 converts), the 1.375% convertible notes due 2030, and a \$750 million revolver maturing September 2030. No major maturities before 2030. Liquidity of \$1.5 billion provides a buffer, but the balance sheet is not the fortress

it was a year ago. Itron repurchased \$52 million of shares in Q2 under its buyback authorisation, a modest pace.

The Investor Day remains unscheduled. On the Q2 call, Hooper said the Investor Day would come sometime next year, after the Resiliency integration completes in January. That is not a date. If it slips beyond Q1 2027, the thesis extends; it does not end. **But the opportunity cost of holding a position where the forcing function keeps receding is real.**

What Breaks the Thesis

ARR growth **decelerating below 15% YoY for two consecutive quarters** triggers an exit review.

Net debt above 5.0x EBITDA on any reported quarter triggers an exit review.

Investor Day delayed beyond Q1 2027 **extends the thesis; it does not end it.**

Book-to-bill below 0.8x for two consecutive quarters with simultaneous pipeline contraction, not just soft bookings against a growing pipeline, **but pipeline itself declining**, triggers an exit review. TTM book-to-bill is 0.93 today. Q2 came in at 0.98x. The threshold at 0.8x requires bookings to **drop roughly \$100 million from the current quarterly run-rate**. That is not a soft quarter. **That is demand deterioration.**

Management publicly characterising the margin improvement **as temporary or cyclical** rather than **structural triggers immediate exit**.

The Close

The 2027 operating model that Itron presented in March 2024 is done. Gross margin of 41.4% against a 36 to 38% target. EBITDA margin of 17.2% against 15 to 17%. Free cash flow margin of 14.4% against 10 to 12%. **The CFO confirmed the improvements are structural.** The Investor Day is when management resets those targets for a business that now includes a 75% gross margin software segment, **an ARR base approaching half a billion dollars growing above 20%, and a cross-sell motion into 8,000 utility relationships that has not started.**

Five analysts acknowledge the software transition in their published research. None models it as software. JPMorgan says its own multiple could prove conservative. Needham says the company trades at a hardware multiple while its financial profile resembles a software business. **The methodology is the mispricing.**

At \$99.66, Itron trades at 0.75x the S&P 500's forward P/E, a 42% discount to its own 10-year average, on one of the highest forward earnings its consensus has ever produced. The Investor Day is the forcing function. The integration completes by January. The framework follows.

Pushback welcome.

 **Subscribed**

Disclosure: I hold a position in Itron. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: Itron Q2 2026 Earnings Conference Call transcript, July 28, 2026 — Deitrich and Hooper verbatim; Itron Q2 2026 Earnings Presentation, July 28, 2026; Itron Q1 2026 Earnings Conference Call, April 28, 2026; Itron FY2025 Form 10-K; Itron 2024 Investor Day presentation, March 12, 2024. JPMorgan

Itron note, July 28, 2026 — Strouse. TD Cowen Itron 2Q26 Preview, July 19, 2026; TD Cowen Itron Earnings Update, July 28, 2026 — Osborne; TD Cowen Landis+Gyr Earnings Update, May 8, 2026 — Osborne verbatim. Needham Itron 2Q26 Update, July 29, 2026 — Milligan. Roth Capital Itron note, July 22, 2026 — Moore. Seaport Research Partners Itron Flash Note, July 28, 2026 — Graham. Itron Investor Relations press release, July 23, 2026 (Oppenheimer conference announcement). Stock price data from Yahoo Finance and TradingView, July 28 through July 31, 2026. TIKR Terminal forward multiples and estimates as of July 31, 2026. LSEG Workspace (S&P 500 Forward P/E).